A TFSA, an RRSP and a Margin Account: the Rules

TFSA room, RRSP room, using your TFSA as collateral, margin interest, capital gains and the traps between the accounts, in plain English · 2026

These three accounts work very differently. Everything inside a TFSA is tax-free. Everything inside an RRSP grows untaxed, but every dollar that comes out is income. Everything in a margin account is taxed every year, and the interest on the loan can be deducted. Move money or shares between them, or pledge your TFSA as collateral, and a few rules decide whether it works for you or costs you. Each brokerage only sees its own accounts, so nobody warns you. These are the rules that matter, and how the tracker handles each one.

1. YOUR TFSA ROOM

Rule	What it means	In the tracker
One room per person	All your TFSAs at every brokerage share ONE contribution room. Each brokerage only sees its own.	Settings B24; TFSA room block.
Annual limit	$7,000 for 2026. Unused room carries forward. Someone 18+ in 2009 who never contributed has $109,000 in 2026.	Settings B23.
Withdrawals come back January 1	Money you take out is added back to your room on January 1 of the next year, never the same year.	"Room on Jan 1 next year".
Deadline: December 31	No 60-day grace period. A January deposit uses the new year's room.	—
Over-contribution tax	1% per month on the highest excess, until it is withdrawn (Form RC243).	Red message.
Day trading	Frequent trading inside a TFSA can be taxed as business income.	Rules tab.

Example. Your room on January 1, 2026 is $20,000. You deposit $7,000 into your Wealthsimple TFSA and $6,000 into your Questrade TFSA. Room left = $20,000 – $13,000 = $7,000, for both together. You withdraw $500 in September: your room does not go up this year, but $500 comes back on January 1, 2027.

2. YOUR RRSP ROOM

Rule	What it means	In the tracker
One limit per person	All your RRSPs at every brokerage (and any spousal RRSP you pay into) share ONE deduction limit, shown on your Notice of Assessment. It already includes unused room from past years.	Settings B31 to B33; RRSP room block.
New room each year	18% of last year's earned income, up to $33,810 for 2026 ($35,390 for 2027), minus any pension adjustment.	—
The March 1 deadline	Deposits up to the 60th day of the next year (March 1, 2027) can be deducted on your 2026 return (Line 20800). A deposit on February 16, 2026 belongs to 2025.	Mar 2 → Mar 1 window.
$2,000 buffer	You can be over by up to $2,000 in your lifetime. Beyond that, 1% per month on the excess (Form T1-OVP).	Settings B34; amber then red message.
Withdrawals	Taxed as income (Line 12900), with tax withheld at source, and the room never comes back.	Tax Summary, Line 12900.
US dividends	No US withholding on US-listed stocks and ETFs held directly in an RRSP (Canada-US treaty).	Dividend Tracker note.

Example. Your 2026 Notice of Assessment shows a deduction limit of $15,000. You put $2,000 in your TD RRSP on February 16, 2026: that counts for 2025. You put in $6,000 on March 10 and $3,000 on August 20: $9,000 in the 2026 window, so $6,000 of room is left until March 1, 2027.

3. USING YOUR TFSA AS COLLATERAL

Rule	What it means	In the tracker
It is allowed	Income Tax Act s. 146.2(4) lets a TFSA be used as security for a loan. Using an RRSP that way makes it taxable.	Settings D13:D20.
Brokerage policy decides	Some brokerages count part of your TFSA value towards your margin buying power. The rate, and whether they allow it at all, is their choice: ask them.	Collateral rate per brokerage.
Extra borrowing power	TFSA value at that brokerage × its collateral rate.	Margin & Collateral, column J.
A margin call can reach your TFSA	If your margin account falls short, the brokerage can sell pledged TFSA holdings. The room used by that money only comes back next January 1.	Status column, warnings.
Room is not affected	Pledging is not a withdrawal and does not use or free up contribution room.	—
Never an RRSP	If an RRSP is used as security for a loan, the value pledged is added to your income (Income Tax Act s. 146(10)).	No RRSP collateral rate.

Example. Your Wealthsimple TFSA is worth $7,500 and its collateral rate is 70%: your TFSA adds $5,250 of borrowing power there. With a $4,600 margin loan, you are using 88% of it. A 20% market drop would cut that power to $4,200, below your loan, and a margin call could force sales in either account.

4. MARGIN INTEREST (LINE 22100)

Rule	What it means	In the tracker
Deductible	Interest on money borrowed to earn investment income in a taxable account (Income Tax Act 20(1)(c), Income Tax Folio S3-F6-C1).	Tax Summary, Line 22100.
No cap	Not limited to your investment income. Excess interest reduces your other income.	—
NOT deductible: borrowing for your TFSA or RRSP	Interest on money borrowed to contribute to a TFSA, RRSP, FHSA or RESP, or for personal spending.	Settings B28.
Break-even yield	A full year of interest at today's loan ÷ the value of your margin holdings. Your holdings must earn at least this much.	Margin & Collateral.
After-tax cost	About interest × (1 – your marginal tax rate).	Main Dashboard.

5. TRAPS BETWEEN THE ACCOUNTS

Trap	What happens	In the tracker
Superficial loss through your TFSA or RRSP	Sell at a loss in your margin or cash account and buy the same shares in your TFSA or RRSP within 30 days before or after: the loss is denied, and because those accounts have no ACB for tax, it is lost for good (Income Tax Act s. 54).	Column P flag.
Moving shares into your TFSA or RRSP	An in-kind transfer from a taxable account counts as a sale at market value. A gain is taxable; a loss is denied (s. 40(2)(g)(iv)).	Log a Sell, then a Deposit and Buy.

Trap	What happens	In the tracker
US dividends in a TFSA	15% is withheld and lost. In a taxable account you can claim it back (Line 40500, Form T2209).	Dividend Tracker note.
TFSA and RRSP losses	A loss inside a TFSA or RRSP cannot be claimed against anything.	Column P note.

Example. On April 7 you sell 80 BCE shares in your RBC cash account for a $420 loss. On April 21 you buy 30 BCE in your Wealthsimple TFSA. The loss is a superficial loss: it is denied, and it is not added to anything you can use later.

6. CAPITAL GAINS AND YOUR ACB (MARGIN AND CASH)

- **50% of a net capital gain is taxable** (Schedule 3, Line 12700). The proposed 2/3 rate was cancelled in 2025.
- **Pooled ACB:** identical shares in all your taxable accounts at every brokerage share one average cost. Your TFSA is and your RRSP are separate pools and never mix in.
- **Capital losses** only offset capital gains: carry a net loss back 3 years (Form T1A) or forward with no limit.
- **Collect slips** (T5, T3, T5008) from every brokerage for the taxable accounts, plus your RRSP contribution receipts and any T4RSP. A TFSA has no tax slips.

7. DIVIDENDS

Holding	In your TFSA	In your RRSP	In your Margin or Cash account
Canadian eligible dividend	Tax-free	Not taxed until withdrawn	Grossed up 38%, federal credit 15.0198% of the grossed-up amount
US-listed stock or ETF (JNJ, VOO)	15% withheld and lost	0% withheld (treaty)	15% withheld, claimed back as a foreign tax credit
Interest	Tax-free	Not taxed until withdrawn	Taxed at 100%

8. MAKING THE THREE ACCOUNTS WORK TOGETHER

- **Put growth in the TFSA** (no tax on the gain at all), US dividend payers in the RRSP (no US withholding) and Canadian dividend payers in the taxable account (dividend tax credit).
- **Never borrow to fill your TFSA or RRSP**: the interest is not deductible.
- **Keep a buffer** between your loan and your total borrowing power, TFSA included, so a market drop does not force sales.
- **Need TFSA cash in the new year?** Withdraw in December: the room comes back on January 1, a year sooner.

For educational purposes only. Not financial or tax advice. Rules summarized for 2026 from canada.ca (Tax-Free Savings Account guide RC4466; RRSPs and Other Registered Plans for Retirement, T4040; carrying charges and interest expenses, Line 22100; Income Tax Folio S3-F6-C1; capital gains; superficial losses). Ask your brokerage about its margin and collateral policy. Questions: hello@maplesheet.ca